

	)	
Samsung Electronics America, Inc.,	)	
	)	
Complainant	)	
	)	
v.	)	DOCKET NO. 24-23
	)	
HMM Co., Ltd F/K/A Hyundai Merchant	)	
Marine, Co. Ltd.,	)	
	)	
Respondent	)	
	)	

Respondent HMM Co., Ltd. (“Respondent” or “HMM”) hereby answers the Amended Complaint in this proceeding as follows:

1. HMM lacks sufficient information to admit or deny the allegations in this paragraph.

2. Admit.

3. Admit to the extent that, under a properly pled complaint, HMM would be subject to Federal Maritime Commission (“FMC” or the “Commission”) jurisdiction. Denied to the extent that Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”) raises claims over which the FMC has jurisdiction.
4. HMM lacks sufficient information to admit or deny the allegations in this paragraph.
5. Admit.

6. Denied. Complainant's allegations under 46 U.S.C. §41104(a)(3) and 46 U.S.C. § 41102(d) (retaliation); 46 U.S.C. § 41104(a)(10) (refusal to deal) were dismissed by this Court in its March 24, 2025 Order Partially Granting Respondent's Motion to Dismiss("Order Dismissing Counts II and III").

IV. PRELIMINARY STATEMENT

7. HMM lacks sufficient information to admit or deny the allegations in this paragraph.
8. HMM lacks sufficient information to admit or deny the allegations in this paragraph.
9. HMM lacks sufficient information to admit or deny the allegations in this paragraph.
10. HMM lacks sufficient information to admit or deny the allegations in this paragraph.
11. Admit to the extent that HMM provides a full range of services. Denied that store door terms are properly characterized by SEA in this paragraph. The terms of store door carriage are subject to modification by the terms of service contracts, bills of lading, and/or other arrangements.
12. Admit to the extent that SEA partially describes the manner in which HMM markets its services. Denied to the extent that SEA's description is a very limited representation of HMM's marketing.
13. HMM lacks sufficient information to admit or deny the allegations in this paragraph.
14. Denied.

15. Denied.
16. Denied.
17. Denied to the extent that SEA attempts to characterize a press release that does not refer to HMM as describing HMM's practices. HMM lacks sufficient information to admit or deny any remaining allegations in this paragraph.
18. Denied to the extent that SEA attempts to characterize a press release that does not refer to HMM as describing HMM's practices. HMM lacks sufficient information to admit or deny any remaining allegations in this paragraph.
19. HMM lacks sufficient information to admit or deny the allegations in this paragraph.
20. HMM lacks sufficient information to admit or deny the allegations in this paragraph, and the material cited by SEA therein speaks for itself.
21. HMM lacks sufficient information to admit or deny the allegations in this paragraph, and the material cited by SEA therein speaks for itself.
22. HMM lacks sufficient information to admit or deny the allegations in this paragraph, and the material cited by SEA therein speaks for itself.
23. HMM lacks sufficient information to admit or deny the allegations in this paragraph, and the material cited by SEA therein speaks for itself.
24. Denied.
25. Denied.
26. Denied.
27. Denied.

28. HMM lacks sufficient information to admit or deny the allegations in this paragraph.

29. Denied.

V. SEA's ALLEGATIONS

30. Admit.

31. HMM denies that SEA's definition of "store door" terms was agreed between the parties, but, except as so specifically denied, HMM admits the remaining allegations in this paragraph.

32. Denied to the extent that the term "responsible" is vague and ambiguous. Admit to the extent that HMM and Samsung SDS and Samsung Logitech, as shippers, agreed to service contracts (the "Service Contracts") containing the terms for the carriage of cargo from overseas to inland locations wherein SEA was the consignee and party bound by the terms of the Service Contracts.

33. Denied to the extent that "store door" terms are fixed and universal, particularly when a shipper or other party controls the inland transportation leg. Admit to the extent that the carriage of cargo from an overseas port to a domestic inland destination could be characterized as a "store door" movement and that, pursuant to the Service Contracts, HMM carried cargo where SEA was the consignee of same.

34. Denied to the extent that "CY" or "port-to-port" or "merchant haulage" terms are fixed and universal. Admit to the extent that, ordinarily, "merchant haulage" would describe an arrangement wherein an ocean carrier does not perform or provide inland services unless otherwise arranged with a shipper.

- 35. Denied.
- 36. Denied.
- 37. Denied.
- 38. Admit to the extent that HMM has moved cargo under Service Contracts that governed the “store door” terms under which cargo moved and where SEA was the consignee of same.
- 39. Admit that HMM has invoiced SEA for demurrage and detention charges in accordance with the terms of the Service Contracts.
- 40. Denied.
- 41. Denied.
- 42. Denied.
- 43. Denied.
- 44. Denied as stated. Admit to the extent that HMM requested payment for demurrage and detention charges that were due and owing by SEA under the terms of the Service Contracts, HMM’s bills of lading, and HMM’s tariff.
- 45. Denied.
- 46. Denied.
- 47. Denied that SEA was not responsible for charges invoiced to it. Admit to the extent that HMM did not mitigate, cancel, or waive every charge that SEA asked to be discharged.
- 48. HMM denies that its conduct led to delays in container and equipment returns and excepts as so specifically denied, lacks sufficient information to admit or deny the remaining allegations in this paragraph.

49. Denied.
50. Admit to the extent that SEA sent a Notice of Demand for Action Letter dated October 7, 2022, to HMM. Denied as to the characterization of the Notice of Demand for Action Letter.
51. Admit.
52. Admit.
53. Denied to the extent that SEA characterizes its categorization of documents into eleven categories as “unreasonable,” “in violation of the Shipping Act,” or “detailed.” Admit solely to the extent that SEA presented eleven categories of alleged conduct to HMM during a March 3, 2023, meeting.
54. Admit.
55. Admit that SEA failed to provide specific evidence of its claims and that HMM proposed that the allegedly improper invoices should be reviewed but, except as so specifically admitted, denies the remaining allegations.
56. Denied that SEA’s letter included “clear factual circumstances” or “support[ed] its claims.” Admit to the extent that SEA sent a letter dated May 31, 2023, proposing mediation.
57. Admit.
58. Denied to the extent that SEA characterizes its Renewed Notice of Demand for Action or that HMM necessitated the filing of the Complaint. Admit to the extent that SEA sent a Renewed Notice of Demand for Action dated February 29, 2024, and that HMM declined to participate in mediation under the circumstances.
59. Denied.

VI. SEA'S ALLEGATIONS – COUNT I

- 60. HMM repeats and realleges Paragraphs 1 through 59 of this Answer with the same force and effect as if set forth at length herein, in response to Paragraph 60 of the Complaint.
- 61. Admit.
- 62. Admit.
- 63. Denied.
- 64. Denied.
- 65. Denied.
- 66. Denied.
- 67. Denied.

VII. SEA'S ALLEGATIONS – COUNT II

- 68. HMM repeats and realleges Paragraphs 1 through 67 of this Answer with the same force and effect as if set forth at length herein, in response to Paragraph 68 of the Complaint, noting that no response is required to SEA's Count II because it was dismissed by the Court's Order Dismissing Counts II and III.
- 69. No response to this allegation is required because Count II was dismissed by the Court's Order Dismissing Counts II and III. To the extent a response is still required, HMM denies the allegations.
- 70. No response to this allegation is required because Count II was dismissed by the Court's Order Dismissing Counts II and III. To the extent a response is still required, HMM denies the allegations.

71. No response to this allegation is required because Count II was dismissed by the Court's Order Dismissing Counts II and III. To the extent a response is still required, HMM denies the allegations.
72. No response to this allegation is required because Count II was dismissed by the Court's Order Dismissing Counts II and III. To the extent a response is still required, HMM denies the allegations.
73. No response to this allegation is required because Count II was dismissed by the Court's Order Dismissing Counts II and III. To the extent a response is still required, HMM denies the allegations.
74. No response to this allegation is required because Count II was dismissed by the Court's Order Dismissing Counts II and III. To the extent a response is still required, HMM denies the allegations.
75. No response to this allegation is required because Count II was dismissed by the Court's Order Dismissing Counts II and III. To the extent a response is still required, HMM denies the allegations.

VIII. SEA'S ALLEGATIONS – COUNT III

76. HMM repeats and realleges Paragraphs 1 through 75 of this Answer with the same force and effect as if set forth at length herein, in response to Paragraph 76 of the Complaint, noting that no response is required because Count III was dismissed by the Court's Order Dismissing Counts II and III.

77. No response to this allegation is required because Count II was dismissed by the Court's Order Dismissing Counts II and III. To the extent a response is still required, HMM denies the allegations.
78. No response to this allegation is required because Count II was dismissed by the Court's Order Dismissing Counts II and III. To the extent a response is still required, HMM denies the allegations.
79. No response to this allegation is required because Count II was dismissed by the Court's Order Dismissing Counts II and III. To the extent a response is still required, HMM denies the allegations.
80. No response to this allegation is required because Count II was dismissed by the Court's Order Dismissing Counts II and III. To the extent a response is still required, HMM denies the allegations.

IX. SEA'S ALLEGATIONS – COUNT IV

81. HMM repeats and realleges Paragraphs 1 through 80 of this Answer with the same force and effect as if set forth at length herein, in response to Paragraph 81 of the Complaint.
82. Admit.
83. Denied.
84. Admit to the extent that invoices must comply with 46 U.S.C. § 41104(a)(15)(A) or (B). Denied to the extent that SEA describes "such invoices" without clearly identifying any invoices or alleges that HMM issued any non-complaint invoices.

85. Admit to the extent that invoices must comply with 46 U.S.C. § 41104(a)(15)(A) or (B). Denied to the extent that SEA describes “such invoices” without clearly identifying any invoices or alleges that HMM issued any non-complaint invoices.

X. SEA’S ALLEGATIONS – COUNT V

86. HMM repeats and realleges Paragraphs 1 through 85 of this Answer with the same force and effect as if set forth at length herein, in response to Paragraph 86 of the Complaint.
87. Admit.
88. Denied.

XI. SEA’S ALLEGATIONS – COUNT VI

89. HMM repeats and realleges Paragraphs 1 through 88 of this Answer with the same force and effect as if set forth at length herein, in response to Paragraph 89 of the Complaint.
90. Admit.
91. Denied.
92. Denied.
93. Denied.

XII. ALLEGED CAUSATION AND INJURY

94. Denied.
95. Denied.

XIII. ALTERNATIVE DISPUTE RESOLUTION

96. HMM lacks sufficient information to admit or deny SEA's alleged considerations relied upon during its decision-making process wherein it filed the Complaint without using the FMC's alternative dispute resolution process. Admit to the extent that the parties did not resolve this matter prior to the filing of the Complaint. Denies to the extent SEA alleges "noncooperation" by HMM.
97. HMM lacks sufficient information to admit or deny the allegations in this paragraph.

XIV. REQUEST FOR ORAL HEARING

98. HMM does not take a position on SEA's request for a hearing.

AFFIRMATIVE DEFENSES

1. The Complaint represents a part of an unjust or unreasonable method by which to obtain ocean transportation at less than the applicable rates, in violation of the Shipping Act.
2. The FMC lacks subject matter jurisdiction over any claim relating to charges imposed by railroads, ocean terminals, or other third parties.
3. The FMC lacks subject matter jurisdiction over the claim asserted in Count I of the Complaint (U.S.C. § 41102(c)), as it is a claim for breach of contract, for which exclusive jurisdiction rests in the federal courts under 28 U.S.C. § 1333, and the Shipping Act.
4. Complainant has failed to plead essential elements of a claim under 46 U.S.C. Section 41102(c).
5. The Complaint fails to state a claim under 46 U.S.C. § 41102(d).

6. The Complaint fails to plead essential elements of a claim under 46 U.S.C. § 41102(d).
7. The Complaint fails to state a claim under 46 U.S.C. § 41104(a)(14).
8. The Complaint fails to state a claim under 46 U.S.C. § 41104(a)(3).
9. The Complaint fails to state a claim under 46 U.S.C. § 41104(a)(10).
10. The Complaint fails to plead essential elements of a claim under 46 U.S.C. § 41104(a)(10).
11. The Complaint fails to state a claim under 46 U.S.C. § 41104(a)(14) for which the Federal Maritime Commission has authority to award reparations.
12. The Complaint fails to state a claim under 46 U.S.C. § 41104(a)(15) for which the Federal Maritime Commission has authority to award reparations.
13. The FMC lacks authority to adjudicate this matter, as it would violate the Seventh Amendment.
14. The FMC lacks authority to adjudicate this matter, as it would violate the Judiciary Act of 1789.
15. The FMC lacks authority to adjudicate this matter to the extent that Complainant's claims sound in contract.
16. Complainant waived all of its claims due to its failure to use the procedures required by the FMC and maintained by HMM for addressing disputes about detention, demurrage, and per diem charges.
17. Because HMM maintained procedures for disputing detention, demurrage, and per diem charges and Complainant willfully declined to use them, HMM's actions are *per se* reasonable.
18. Any harm experienced by Complainant was as a result of its own failures, acts or omissions.

19. Complainant has failed to state a claim for which relief can be granted, including for reasons of vagueness.
20. Complainant has not suffered any actual injury or damage as a result of Respondent's alleged violations of the Shipping Act, which are denied.
21. Complainant acted as a volunteer in making payments to non-parties without determining the validity of those claims before making payment.
22. Any delay in the return of empty equipment that resulted in charges to the Complainant was caused by Complainant and/or its agents and was the responsibility of Complainant and/or its agents.
23. To the extent that the Claims involve charges from entities other than HMM, such as railroads, terminal operators, truckers, and storage facilities, HMM cannot be held responsible.

COUNTERCLAIM

By this Answer and pursuant to the Commission's Rules at 46 U.S.C. 502.62(b)(4), Respondent HMM alleges the following Counterclaims against Complainant SEA and states as follows:

I. FACTUAL ALLEGATIONS

A. Service Contracts with Samsung SDS and SEA

1. Samsung SDS Co., Ltd. ("Samsung SDS") is a corporation engaged in the global electronics business that is organized and existing under the laws of South Korea, with its principal place of business located at 125, Olympic-ro, 35-Gil, Songpa-do, Seoul, South Korea.

2. In 2021 and 2022, Samsung SDS invited HMM to submit proposals for the transport of cargoes for Samsung SDS, Samsung SDS's Affiliates, and certain others.

3. Samsung SDS solicited bids for the transport of these cargoes from, *inter alia*, various points in Asia to Samsung SDS's Affiliates, including SEA.

4. Samsung SDS and Samsung Electronics Logitech Co., Ltd. ("Samsung Logitech") each sent HMM a 2021 RFQ (request for quotation) for ocean freight and a 2022 RFQ for "Samsung Group" Ocean Freight (collectively, the "Samsung RFQs") which described the terms and conditions under which Samsung SDS and Samsung Logitech wished to move their cargo.

5. The Samsung RFQs provided under Section III, Paragraph 6, captioned "Customer Service," as follows:

"Preferred Trucker & Delivery

- Carriers are required to provide local delivery service with consignee's preferred trucker if any. (CNT = Customer Nominated Trucker)"

6. Following negotiations with SDS and Samsung Logitech, HMM entered into agreements with SDS and with Samsung Logitech which named SEA as an Affiliate.

7. Samsung Logitech is wholly owned by Samsung Electronics Co., Ltd. (“Samsung Electronics”).

8. SEA is wholly owned by Samsung Electronics.

9. Upon information and belief, Samsung Electronics, Samsung SDS, Samsung Logitech and Complainant SEA operate as part of an integrated business structure wherein these entities all work together to ship merchandise to SEA for eventual sale.

10. As part of this integrated business structure, Samsung Logitech sought to enter into transportation agreements on behalf of itself and certain affiliates.

11. HMM and Samsung Logitech executed a series of service contracts that were in place at all times relevant to SEA’s allegations in the Complaint (the “Service Contracts”) and which were filed with Federal Maritime Commission.

12. The Service Contracts allow Samsung Logitech, acting on behalf of itself and the named affiliates in the Service Contracts and other entities owned or controlled by Samsung Electronics, to tender merchandise to HMM for transport to Complainant SEA.

13. The first page of each Service Contract states that the “Service Contract (S/C) is made between the parties [HMM and Samsung SDS]. . . and (C) any other shippers and/or consignees listed in [Term 009] including any identified Affiliates.”

14. Term 009 of each Service Contract lists the Complainant, SEA, as an “Affiliate” of Samsung Logitech.

15. Term 10 of each Service Contract provides that “[t]he shipper signing this contract warrants (A) it and each shipper in Term 009 is identified by its legal name and business address, (B) it is authorized to bind itself and every other shipper and party, and (C) its status and that of every shipper is [Owner of the cargo].”

16. At all relevant times, Samsung Logitech had the authority to enter into the Service Contracts on behalf of SEA.

17. Pursuant to the first paragraph of each of the Service Contracts, Samsung Logitech represented and warranted that “(A) it and each Shipper in [Term 009] is identified by its legal name and business address, (B) it is authorized to bind itself and every other Shipper and Party. . .”

18. Samsung Logitech requested that the Service Contracts allow Samsung Logitech to nominate the trucking companies that would deliver Samsung Logitech’s cargo to SEA.

19. Upon information and belief, Samsung Logitech acted at the behest of SEA when it requested that the Service Contracts allow Samsung Logitech to nominate the trucking companies that would deliver Samsung Logitech’s cargo to SEA.

20. The Service Contracts provide (emphasis added):

5. CNT

- A. Carrier will allow to use below CNT as a door delivery trucker for cargo destined as per the shipper's request But carrier's liability for loss of or damage to the cargo, or for loss or damage caused by the cargo, shall cease when the cargo is interchanged to this trucker. If any party asserts a claim or cause of action against carrier for loss or damage occurring after cargo is interchanged to this trucker, the shipper or the owner of the cargo will defend and indemnify carrier against any and all such claims or causes of action.
- B. All responsibilities of any demurrage and detention charges and chassis rental costs shall be for the account of the cargo after the respective free lime for demurrage and detention expires.
- C. In the event shipper/consignee enters into service contract with Carrier, the compensation rates shall be negotiated and agreed upon between the Carrier and CNT prior to the effective date of the applicable service contract and shall not be subject to change during the period of the service contract; should the CNT demand increase in its compensation rate during the contract period or shipper/consignee choose to nominate a new or alternate CNT during the period of the service contract, the shipper/consignee shall be responsible for and guarantee payment of any increase in compensation rate.

- D. Subject to the terms of this CNT provision, Carrier will endeavor to use CNT. In the event CNT is unable or unwilling to complete the transportation as requested by Carrier, or Carrier otherwise elects to use alternative transportation, Shipper/cargo owner agrees to pay all additional costs associated with the alternative transportation, including but not limited to, increased truck costs, equipment costs, demurrage, detention, rail costs, and other costs that may arise from or relate to the alternative transportation.
- E. Any CNT cancellation or change of CNT has to be notified by Shipper or the owner of the cargo to Carrier and it shall be accepted by Carrier in written at least fourteen (14) calendar days prior to the scheduled trucking date. Carrier shall not accept CNT cancellation or change request if Carrier considers by its sole discretion that Shipper or the owner of the cargo has not arranged an alternative transportation method. In any event, Shipper or the owner of the cargo is fully responsible for all costs associated with CNT cancellation or change of CNT including but not limited to equipment rental charges, demurrage including rail ramp storage), detention costs.
- F. Shipper or the owner of the cargo shall be responsible for all the charges including but not limited to demurrage, storages at ports and ramps in the event that their CNT is unavailable or fails to deliver the cargo and further they are solely responsible for any rate fluctuation of their CNT rate whatever reasons.

21. HMM entered into the Service Contracts based on the agreement of Samsung Logitech, SEA, and the other listed affiliates, that SEA would nominate trucking companies and other carriers to pick up SEA's cargoes from HMM and deliver those cargoes to SEA.

22. HMM further entered into the Service Contracts based on the explicit agreement of Samsung Logitech, SEA, and the other listed affiliates, that SEA would be responsible for charges incurred by SEA's nominated trucking companies and other carriers to pick up SEA's cargoes and deliver those cargoes to SEA.

23. Pursuant to Paragraph 13 of the Service Contracts, HMM's governing tariffs were incorporated by reference into the Service Contracts, including HMM tariff HDMU-047 and HDMU-040 (the "Tariffs").

24. Samsung Logitech agreed that all cargoes moving under the Service Contracts would be subject to the Tariffs.

25. SEA agreed that all cargoes moving under the Service Contracts would be subject to the Tariffs.

26. Tariff HDMU-040, Rule Number 2-37, published on January 9, 2019, and effective on February 9, 2019, states the following with respect to Customer Nominated Truckers (“CNT”) (emphasis added):

3. When a customer nominated trucker (Hereinafter referred to as CNT) is used at the request of shipper or consignee for SD delivery, notwithstanding anything to the contrary in the Bill of Lading issued for the cargo, the following terms and conditions shall apply:

a) Carrier will act as agent of Shipper/Consignee for purposes of arranging the trucking, and the contract of carriage for inland transportation by CNT shall be deemed to be entered into between the trucker and Shipper or the owner of the cargo. The CNT shall be deemed as agent for the Shipper or the owner of the cargo and not by the Carrier, even though Carrier’s rates are inclusive of door delivery. Carrier shall pay the CNT only as agent for Shipper.

b) For purposes of U.S. COGSA and/or applicable law governing carriage of goods by Carrier, delivery to the Shipper/Consignee shall occur when the container with the cargo is interchanged to the CNT.

c) Carrier’s liability for loss of or damage to the cargo, or for any other loss or damages caused by the cargo including Demurrage/Detention charges shall cease when the cargo is delivered to the CNT.

d) If any party asserts a claim or cause of action against Carrier for loss or damage occurring after the cargo is delivered to the CNT, the Shipper or the owner of the cargo will defend, indemnify and hold Carrier or its agent harmless against and from any and all such claims or causes of action.

e) All responsibilities of chassis rental costs will be on CNT after the free time for container and chassis expires.

f) Any CNT cancellation or change of CNT has to be notified by Shipper or the owner of the cargo to Carrier and it shall be accepted by Carrier in written at least fourteen (14) calendar days prior to the scheduled trucking date. Carrier shall not accept CNT cancellation or change request if Carrier considers by its sole discretion that Shipper or the owner of the cargo has not arranged an alternative transportation method. In any event, Shipper or the owner of the cargo is fully responsible for all costs associated with CNT cancellation or change of CNT including but not limited to equipment rental charges, demurrage (including rail ramp storage), detention costs.

g) Shipper or the owner of the cargo shall be responsible for all the charges including but not limited to demurrage, storages at ports and ramps in the event that their CNT is unavailable or fails to deliver the cargo and further they are solely responsible for any rate fluctuation of their CNT rate whatever reasons.

h) The Shipper and Consignee have fully acknowledged and understand the contents of California Labor Code, Section 2810.4 (Senate Bill 1402) as adopted on September 22, 2018, for the protection of port drayage drivers in California and protection of port drayage drivers and or any other similar laws wherever services are provided. The Shipper and Consignee shall be solely responsible to choose their CNT by their own risks and therefore the Shipper and Consignee shall indemnify, defend and hold the Carrier, its subsidiaries and affiliates and their officers, directors, employees and agents, harmless from and against any and all loss, liability, damage, fine, penalty, demand, expense, claim, or cause of action (including court costs and reasonable attorneys' fees) of whatever type or nature, arising out of or in connection with CNT.

27. Tariff HDMU-040, Rule Number 2-37, was in effect at all times relevant to SEA's claims.

28. HMM only agreed to the Service Contracts because they incorporated the Tariffs.

29. Pursuant to the Service Contracts, Samsung Logitech instructed HMM to issue non-negotiable bills of lading or seaway bills showing SEA as consignee.

30. Upon information and belief, commencing some time in 2020, Samsung Logitech began to ship more cargo to SEA than SEA had capacity to receive. In 2020 and 2021, there were numerous instances of cargo containers arriving the United States shipped by Samsung Logitech but which SEA was unable to receive due to lack of space or personnel.

31. In 2020, SEA began to use the shipping containers arriving from Samsung Logitech as *de facto* warehouses, leaving them for long periods of time at shipping terminals, road terminals, railheads, and other locations because SEA did not have the capacity to receive these goods when they arrived.

32. Pursuant to the Service Contracts, Samsung Logitech instructed HMM to issue invoices to SEA for charges incurred in the United States, including charges levied by the "CNT" trucking companies nominated by SEA and/or Samsung Logitech.

33. Charges that were incurred in the United States included charges by trucking companies nominated and instructed by SEA.

34. HMM agreed to the Service Contracts because the inclusion of the CNT clause in the Service Contracts and incorporation of Tariff HDMU-040, Rule Number 2-37 meant that Samsung Logitech and SEA had agreed to bear the risks related to the delivery of their cargoes from HMM to SEA's locations in the United States.

35. HMM accordingly offered certain periods of free time and priced the rates in the Service Contracts based on SEA's explicit assumption of risk of the truck portion of the delivery of SEA's cargoes.

36. If HMM had known that SEA was seeking a service whereby HMM would bear the risk of detention and demurrage charges resulting from the deficient performance of SEA's nominated trucking companies or SEA's inability to receive and process the cargo it received, HMM would have offered different terms and different rates.

B. SEA's Demand for a Refund

37. On October 7, 2022, SEA transmitted a letter to Hyundai America Shipping Agency, Inc. ("HMM (USA)"), titled "NOTICE OF DEMAND FOR ACTION" ("Demand").

38. The Demand alleges, *inter alia*, that SEA was coerced to pay numerous invoices assessing "demurrage, detention, handling and/or storage fees" ("Fees") since 2020 in the amount of USD \$46 million "based on available data...as of Q1 2022" and demanded an immediate refund of these Fees, plus all Fees it pays in the future, on the grounds that the shipments moved under "store-door" terms and that "HMM was responsible for obtaining all necessary resources therefor under the store-door terms."

39. The Demand did not identify the bill of lading numbers, container numbers, booking numbers or individual charges related to the corresponding bills of lading and containers; did not include any documents, communications or information explaining why the charges were incorrect and should be refunded, waived or reduced; and, instead, claimed that all the charges comprising the \$46 million claim were improper because SEA's shipments moved on a "store-door" basis.

40. Prior to the issuance of the Demand, SEA had not contested the individual charges comprising the \$46 million claim set forth in the Demand through HMM's demurrage and detention dispute process which was available on HMM's website.

41. By letter dated October 20, 2022 (the "Reply"), HMM (USA) responded to SEA's Demand noting that it did not contain specific details as to the alleged deficiencies in HMM's billing/invoicing practices or information regarding the shipments related to SEA's claims.

42. Despite SEA's failure to challenge invoices in a timely manner through HMM's dispute resolution process, and the lack of any details in the Demand by which HMM could identify any specific shipment, the Reply advised SEA that HMM was willing to discuss the underlying claims.

43. Had SEA challenged invoices in a timely manner, particularly during the course of the Service Contracts' terms, HMM would have had the opportunity to work with SEA to modify the Service Contracts and proactively address SEA's understanding of the Service Contracts' terms; sought clarification about SEA's obligations under the Service Contracts, and/or sought other remedies under the Service Contract.

44. Instead, SEA concealed its understanding of the Service Contracts and intent to dispute all detention and demurrage accrued according to the terms of the Service Contracts until after HMM had fully performed its obligations under same.

45. SEA has never provided a document or documents that would allow HMM to identify the shipments allegedly at issue, let alone the individual demurrage and detention charges that were allegedly assessed.

46. Following further exchanges of letters between SEA and HMM and their respective counsel the Complaint which is the subject of this proceeding was filed by SEA.

II. VIOLATION 46 U.S.C. § 41102(a) BY SEA

47. Section 41102(a) of the Shipping Act, 46 U.S.C. § 41102(a), prohibits a person from “knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.”

48. During Samsung Logitech’s negotiation of the Service Contracts with HMM, Samsung Logitech required that all trucking of cargo transported by HMM under the Service Contracts be performed by CNTs designated by SEA.

49. Samsung Logitech, SEA, and the other affiliates listed in the Service Contracts agreed to the language of the Service Contracts that “[a]ll responsibilities of any demurrage and detention charges and chassis rental costs shall be for the account of the cargo after the respective free lime for demurrage and detention expires.”

50. Pursuant to the terms and conditions of Tariff HDMU-040, Rule Number 2-37, HMM only acted as an agent for Samsung Logitech and SEA for purposes of arranging the trucking of containerized shipments transported by HMM under the Service Contracts.

51. Pursuant to the terms and conditions of Tariff HDMU-040, Rule Number 2-37, the contract of carriage for inland door delivery of shipments transported by HMM under the Service Contracts was deemed to be between the Samsung Logitech Customer Nominated Trucker and SEA as the owner of the cargo.

52. Pursuant to the terms and conditions of Tariff HDMU-040, Rule Number 2-37, the CNTs were employed by SEA as the owner of the cargo, and not by HMM, and HMM's sole responsibility was the payment to the CNT of whatever freight charges were included in the rates the CNT had negotiated with SEA for its door delivery service under the Service Contracts.

53. Pursuant to the terms and conditions of Tariff HDMU-040, Rule Number 2-37, HMM paid the CNTs designated by SEA only as agent for Samsung Logitech and SEA.

54. Except for its obligation to pay CNTs their freight charges by invoicing SEA and paying the freight over to such CNTs, HMM was not responsible for the failure to perform by the CNTs, nor was HMM responsible for failures to perform by SEA, as Samsung Logitech's Affiliate, including but not limited to acts or omissions by SEA which resulted in SEA's incurring of detention, demurrage and storage charges at ocean terminals, rail terminals, and other facilities.

55. Charges assessed to SEA for demurrage were incurred because Samsung's shipments to SEA were left at various terminals past the expiration of free time while awaiting pickup by the CNTs designated by SEA.

56. SEA never intended to be responsible for the CNT charges it had agreed to pay.

57. SEA is attempting to make HMM liable for the CNT costs SEA agreed to pay, essentially seeking to make HMM an insurer of delays that occurred under agreements between SEA and the CNTs in which HMM's actual role was only as the agent of Samsung Logitech and SEA.

58. While SEA is yet to specifically identify the shipments at issue, upon information and belief, SEA ignored multiple timely notifications sent by HMM to SEA regarding the date of arrival, last free day and accrued demurrage charges for SEA's shipments.

59. SEA was slow to respond to the numerous communications HMM sent to SEA seeking to obtain its instructions with respect to containers which, after going into demurrage, continued to remain at the terminals.

60. Charges to SEA for detention were incurred due to the failure of SEA or its designated CNTs to timely return HMM's empty containers prior to the expiration of free time and not due to any act or omission on the part of HMM.

61. HMM repeatedly waived charges for demurrage and detention that should have been paid by SEA.

62. The Service Contracts provided for the assessment of demurrage, detention and related charges arising from the failure of SEA to timely take delivery of Samsung Logitech's shipments and/or to timely return HMM's empty containers within the extended free time periods which had been negotiated between Samsung and HMM.

63. Upon information and belief, a substantial portion of the demurrage and detention charges assessed against SEA by HMM were attributable to the failure of SEA's designated CNTs to perform in a timely manner. Under the terms of HMM's tariff, such failure is the responsibility of SEA, not HMM.

64. Upon information and belief, a portion of the demurrage and detention charges assessed against SEA by HMM were attributable to SEA's mismanagement of its supply chain including failure to provide adequate warehouse facilities for the timely receipt and unloading of cargo.

65. SEA is attempting to recoup the demurrage, detention and other costs that have been rightfully charged to and incurred by SEA from entities that were not legally responsible for the charges SEA incurred due to its own fault, acts and omissions.

66. In demanding refunds of charges imposed pursuant to the terms of the Service Contracts, and in demanding that HMM waive future lawful charges, and in bringing legal proceedings against HMM and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, SEA has knowingly and willfully engaged in a unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. §41102(a) of the Shipping Act.

III. CAUSATION AND INJURY TO RESPONDENT / COUNTER-COMPLAINANTS

67. As a result of SEA's violation of 46 U.S.C. § 41102(a), HMM has been exposed to damages and legal costs as a result of the proceeding filed against HMM, and SEA is liable to HMM for all damages, including legal costs, that HMM may incur.

IV. PRAYER FOR RELIEF

WHEREFORE, the Respondent / Counterclaimant, HMM, respectfully requests that:

- 1) The Complaint against the Respondent be dismissed;
- 2) The Complainant, SEA, be required to answer the charges in this Counterclaim, and that, after the Commission's investigation and hearing, the Commission shall issue an order

directing that the Complainant, SEA, to cease and desist from violating 46 U.S.C. § 41102(a) of the Shipping Act, specifically from engaging in the unjust or unfair device or means it has employed to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply;

3) SEA be required to pay for all damages incurred by HMM as a result of the Complaint, including its attorneys' fees and costs pursuant to 46 U.S.C. § 41305; and,

4) HMM be provided such other and further relief that the FMC deems just and proper.

Respectfully submitted,

By /s/ Neil Quartaro
COZEN O'CONNOR

Neil Quartaro
Joshua P. Stein
Kathryn Sobotta
175 Greenwich Street, 55th Floor
3 WTC
New York, NY 10007
Telephone: (212) 453-3934

Dated: April 14, 2025

**VERIFICATION OF RESPONDENT
HMM CO., LTD.**

I, Pilseon Kang, hereby verify as follows:

1. I am the Head of the Legal Affairs Office of HMM Co., Ltd.
2. I am authorized to make this verification on behalf of HMM Co., Ltd.
3. I declare under penalty of perjury under the laws of the United States that the foregoing Answer and Counterclaim are true and correct to the best of my knowledge, information, and belief.

Dated: April 14, 2025



Name: Pilseon Kang

Title: Head of HMM Legal Affairs Office

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 14th day of April 2025, the foregoing Answer and

Counterclaim was served via electronic mail on:

Carrol P. Hand (Carrol.Hand@hklaw.com)
Christopher R. Nolan (chris.nolan@hklaw.com)
Gerald A. Morrissey III (gerald.morrissey@hklaw.com)
Kristine O. Little (kristine.little@hklaw.com)
Marisa Marinelli (marisa.marinelli@hklaw.com)

Counsel to Samsung Electronics America, Inc

/s/ Kathryn Sobotta
Kathryn Sobotta